15–59 age group were not counted in the labour force and therefore, not among the unemployed either.

The desperate quest for jobs is reflected in the vast number of people who apply when job positions are declared 'open'. For instance, in March 2018, 28 million people applied for 90,000 positions with the Indian Railways. In February 2018, 1.9 million people applied for a total of 9,500 positions of village administrative officers, typists and stenographers, in the state of Tamil Nadu. Amongst the job applicants were 992 PhDs and 23,000 MPhils!

In addition to the large numbers who are not counted in the labour force, studies – based on the NSS 2007–08 – estimate that there are 67–80 million migrant workers making up approximately one-sixth of the labour force.[18] Many of these migrant workers pursue multiple occupations, for example, working as agricultural labour for part of the year and as construction workers for some months. One study notes that the same workers counted by the NSS as construction workers are counted by the Census 2011 as agricultural workers. As a result, the Census shows a rising workforce in agriculture while the NSS shows a declining one.[19]

It is clear, therefore, that arriving at an accurate estimate of jobs created or destroyed by demonetization is both difficult and complicated.

However, two reports have been widely quoted on the impact of demonetization on jobs, and seem to have been accepted by economists as providing a reasonably accurate picture.

The first, published by the AIMO in January 2017, was based on a survey of 10,000 respondents across India, including large, medium, small and micro enterprises engaged in manufacturing, trading and exports. As over 3,00,000 micro, small, medium and large-scale industries are represented by AIMO, this report is reasonably indicative and its findings are summarized in Table 5 below:

Table 5: Jobs Lost Due to Demonetization